

Title

# ACCEL<sup>®</sup>

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Page-text

## India e-commerce

Other-text

Accel Partners

Other-text

2014

Image



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| Obj-text<br>3.    | Obj-text<br>Trends                     | Obj-text<br>19 - 21      |
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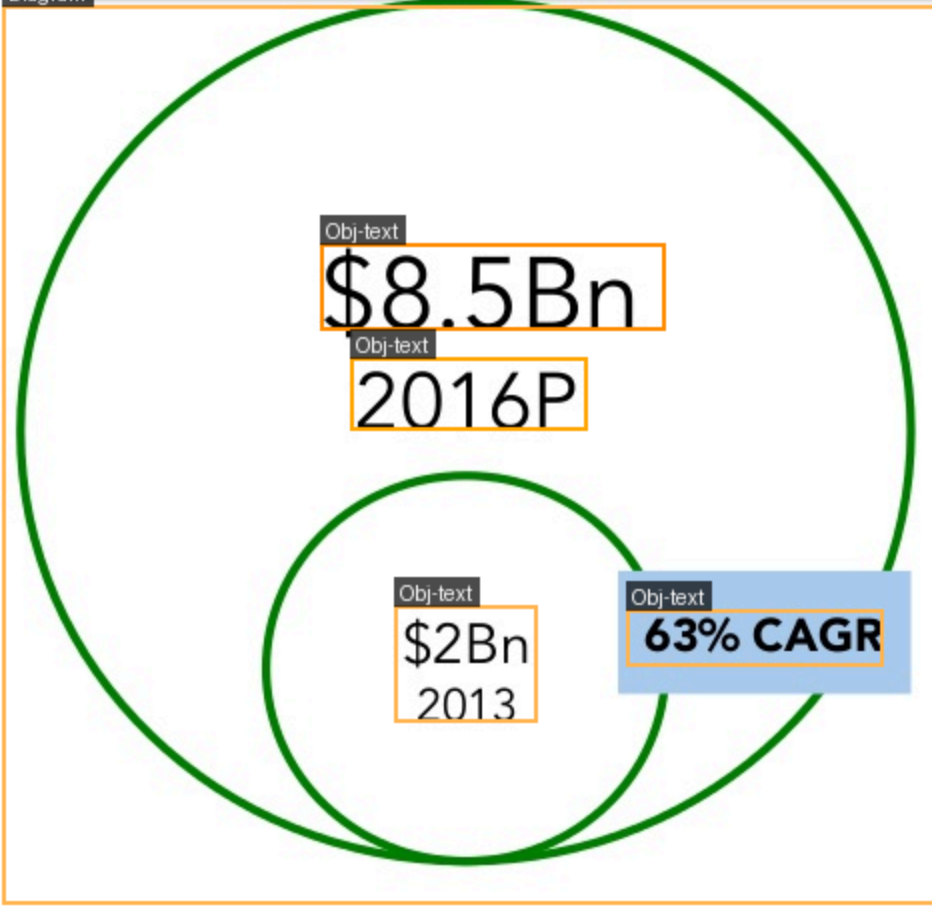
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Title  
**Executive summary**

Page-text  
**Key finding**

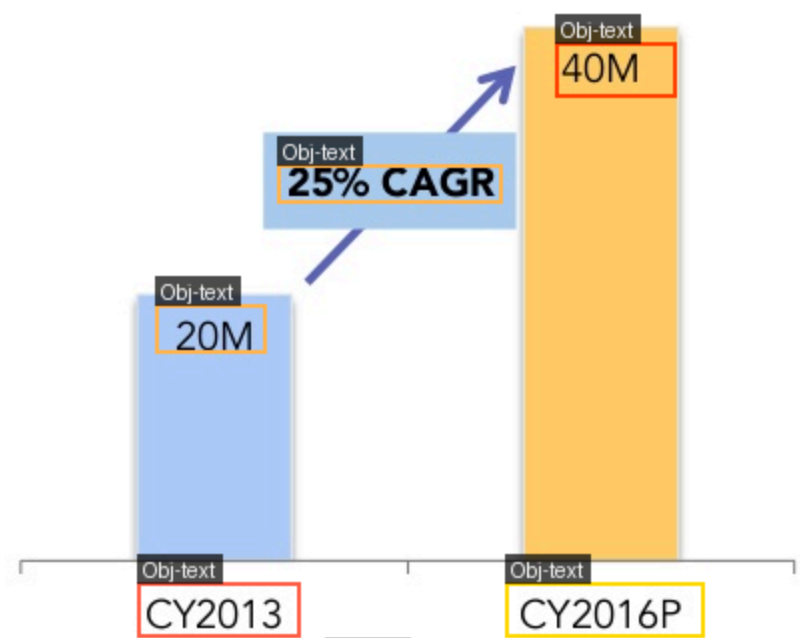
Page-text  
**Online shopping of physical goods in India, will grow to \$8.5Bn in 2016.**  
Page-text  
**Number of online shoppers in India will more than double to 40M.**

Diagram



Figure

Caption  
**Indian online shoppers will double**



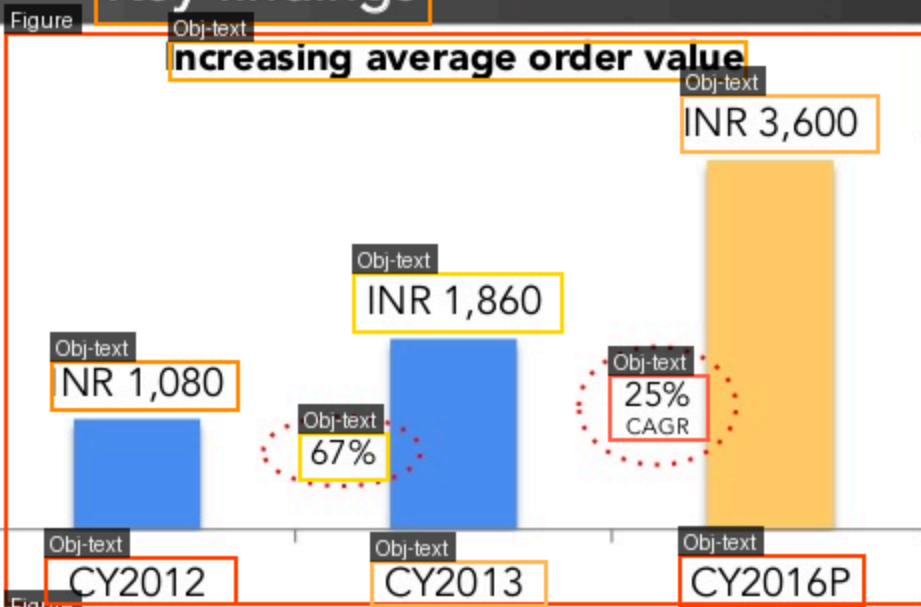
Page-text  
*Accel estimates and Industry sources*

Page-text  
**2x Indian shoppers X 1.1x number of orders per year per shopper X 2x average order value**

Page-text  
Online Shopping defined in this presentation does not include travel, ticketing and food ordering – only physical goods commerce

Title  
**Executive summary**

Page-text  
**Key findings**



Page-text  
**Average order values climbing up rapidly**

- Page-text
1. Last year there was a significant jump in average order value as there was a penetration of new categories like jewellery, home décor etc.
  2. Also, users are becoming more comfortable buying higher priced items online.



Page-text  
**Fashion category doubled last year**

- Page-text
1. Last year was the rise of the fashion category – fashion e-commerce GMV doubled since 2012.
  2. Given the young demographic which is shopping for latest looks online and increasing choice online – we estimate that this category will see 400% growth in the next 3 years and rival electronics and mobile category in GMV.

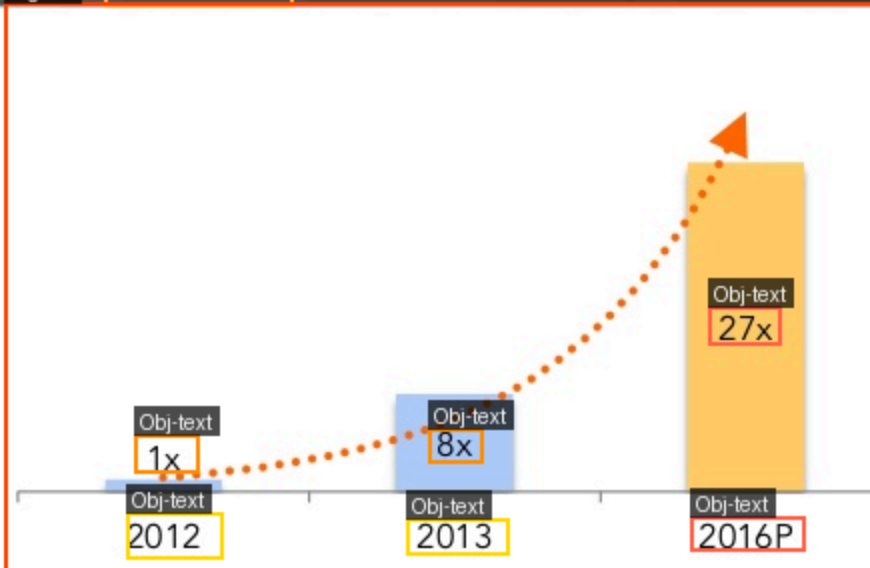
Title

## Executive summary

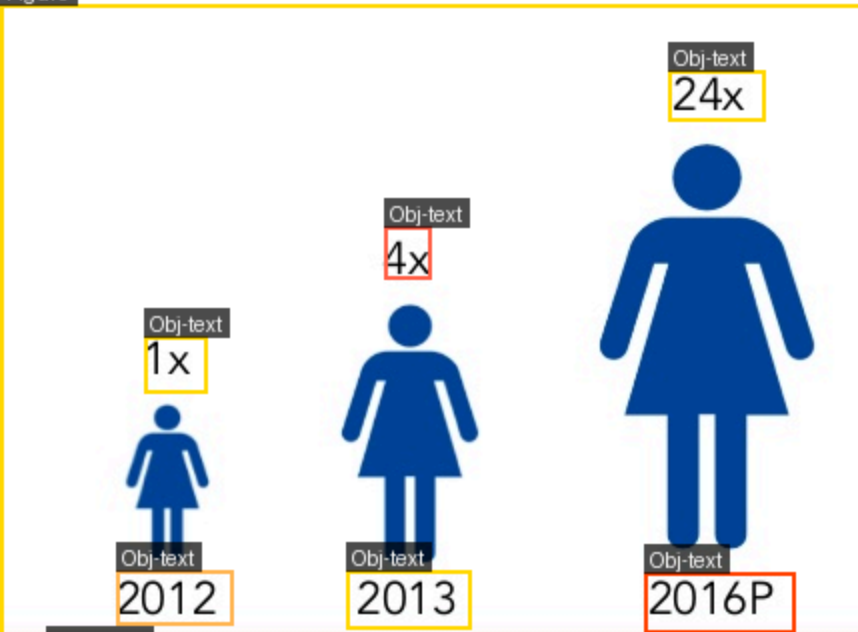
Page-text

## Trends

Figure



Figure



Other-text

Page-text

## Mobile shopping is seeing phenomenal growth

Page-text

1. Mobile shopping infrastructure is improving – smartphones, connectivity, mobile websites and apps

Page-text

2. People are becoming more comfortable in ordering higher priced items online

Page-text

## Women influenced sales will grow 5x in next 3 years

Page-text

1. 35% of online GMV in 2016 will be influenced by women

Page-text

2. Key factor in this growth is increasing supply of women specific categories e.g. jewellery, lingerie, motherhood products

Other-text

Accel estimates and Industry sources

Other-text

Online Shopping defined in this presentation does not include travel, ticketing and food ordering

Title

# Executive Summary

Page-text

## Trends: Rise of EMIs & Wallets

Page-text

- With increasing order values, we are seeing an uptick of EMI payments
- 3<sup>rd</sup> party wallets albeit a new phenomenon, have a strong value proposition and will be quick to become popular – similar to China

Figure

Obj-text

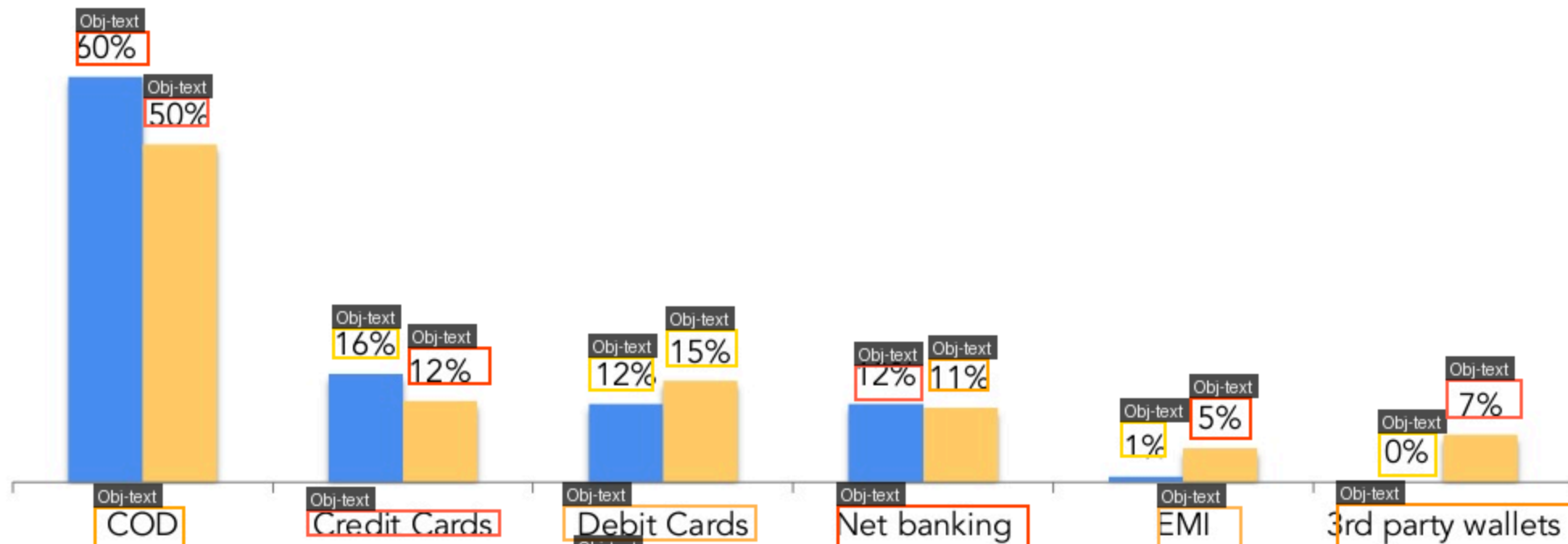
### Indian payment landscape - rise of EMIs and Wallets (Total: 100%)

Obj-text

2013

Obj-text

2016P



Accel estimates, Accel portfolio companies and Industry sources: PayU, EMVantage

Other-text

7

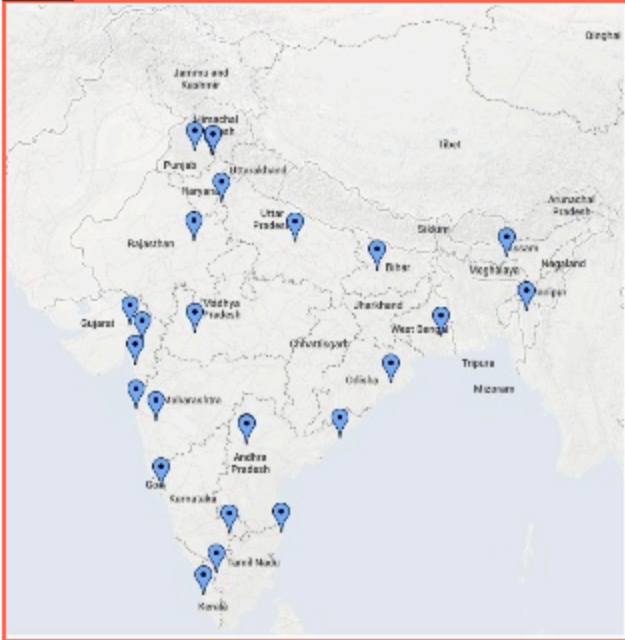
Title

# Executive summary

Page-text

## Growth factors

Image



Page-text

## More penetration in Tier-II and Tier-III towns

Page-text

1. Tier 2 cities growing much faster in eCommerce adoption than Tier 1

Page-text

2. Some states completely lagging in ecommerce, waiting for infrastructure to be put in place

Page-text

## New shoppers will come from the 40M+ Gen-Y FB users

Page-text

1. Potentially 40M shoppers between ages of 19 – 24 years, will start spending money online

Page-text

2. These shoppers also have a propensity to spend more money than Gen-X shoppers

Page-text

Accel estimates, Google, Facebook, NSSO, Accel portfolio companies

Other-text

Other-text

Online Shopping defined in this presentation does not include travel, ticketing and food ordering

Title  
**Enough headroom for growth**

Page-text  
**Online retail is still a very small portion of retail in India**

Figure  
Obj-text  
**247Mn mobiles shipments in India CY2013**

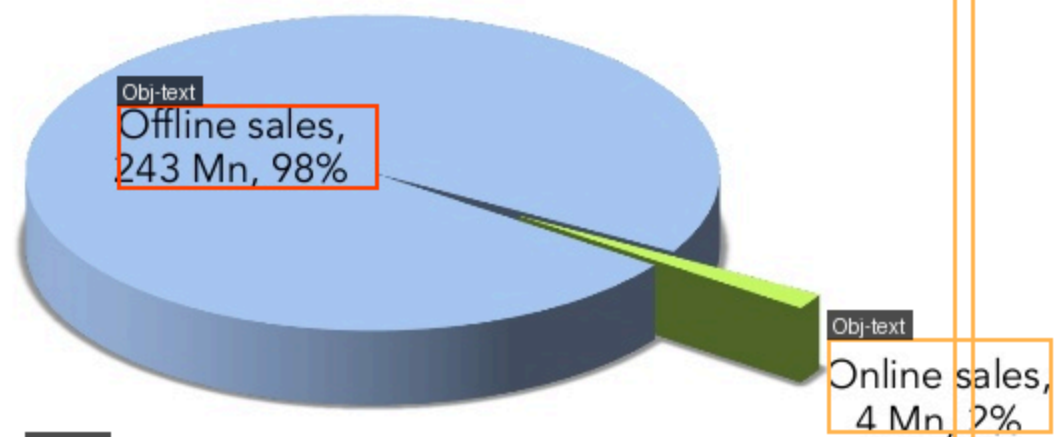
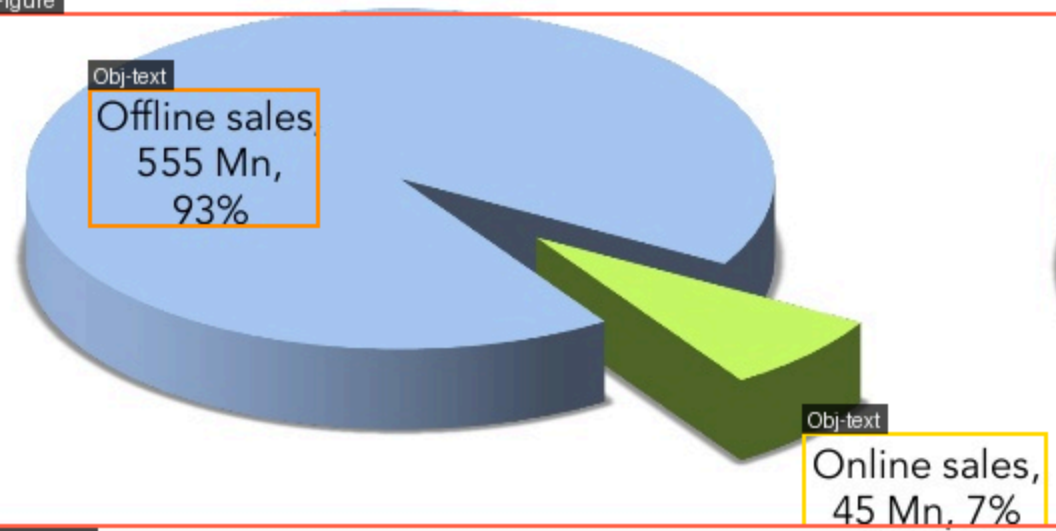


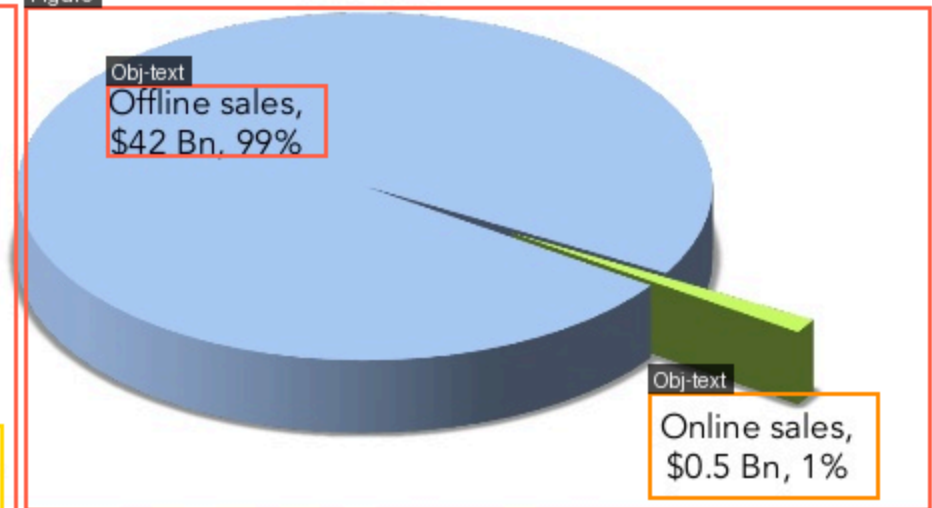
Figure text  
**USD 45Bn jewellery sales in India CY 2013**



Obj-text  
**600Mn books sold in India CY 2013**



Obj-text  
**USD 43Bn fashion + footwear sales in India CY 2013**



Table

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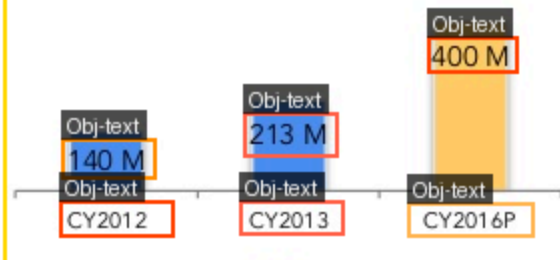
Title

# Growth of India online shopping

Dia Figure

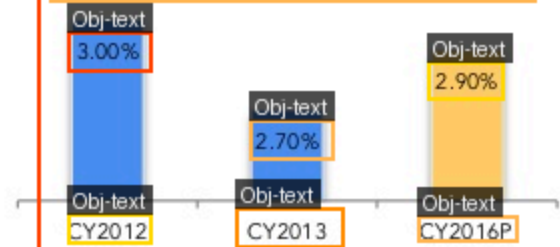
Obj-text

## Internet users in India

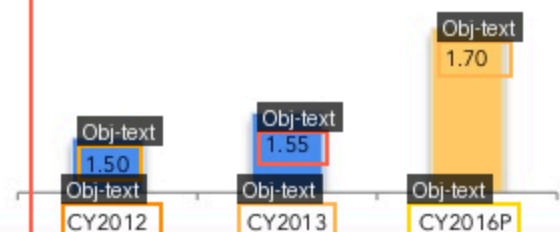


% of internet users who visit e-commerce sites = 60%

## Conversion from visitors to buyers

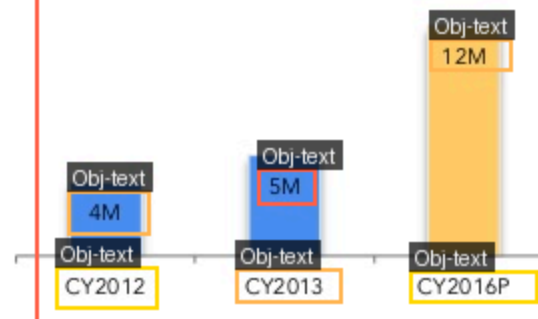


## Orders per buyer per month

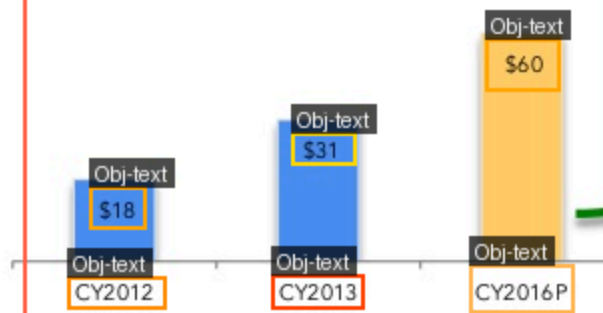


Figure

## # of orders per month



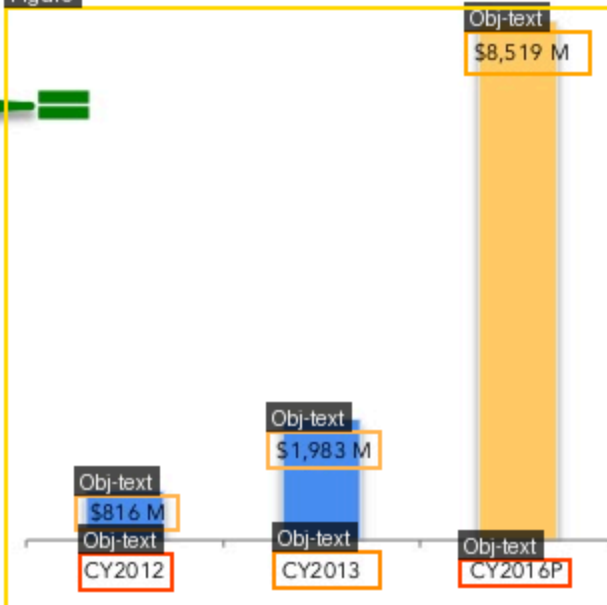
## Average order value



Obj-text

## Annualized online shopping GMV

Figure



Other-text

Title

# Growth of India online shopping

Figure

Obj-text

## Internet users in India

Obj-text  
400 M

Obj-text  
213 M

Obj-text  
140 M

Obj-text  
CY2012

Obj-text  
CY2013

Obj-text  
CY2016P

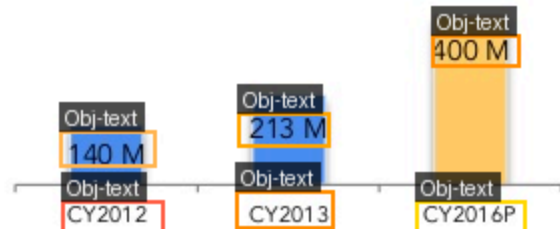
Title

# Growth of India online shopping

Diagram

Obj-text

## Internet users in India



Obj-text

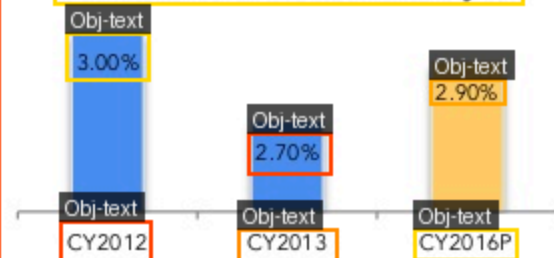
% of internet users who visit e-commerce sites = 60%



Figure

Obj-text

## Conversion from visitors to buyers



Page-text

- India e-commerce market will start maturing and display characteristics similar to China – which traditionally has higher conversion rates (nearly 3.5%)

Page-text

- This is due to e-commerce being only choice for availability of goods in parts of the country and easy payment options like COD – which are not problems in western countries

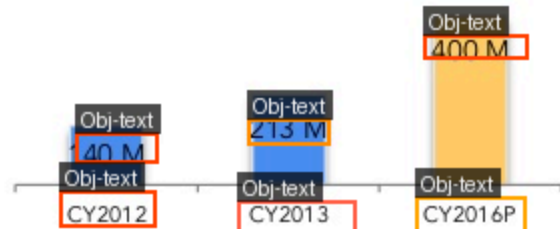
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# Growth of India online shopping

Diagram

Caption

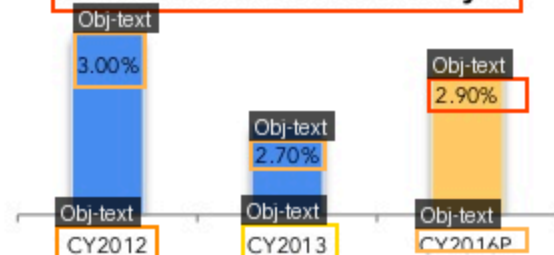
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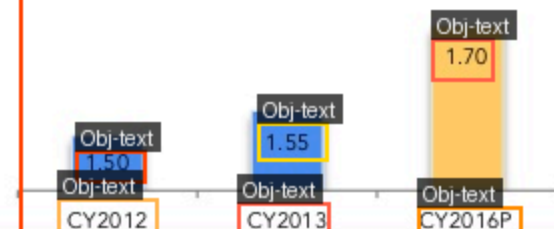
Figure

## Conversion from visitors to buyers



Figure

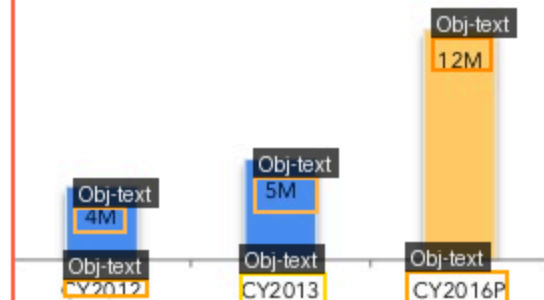
## Orders per buyer per month



Figure

Caption

## # of orders per month



- India e-commerce market will start maturing and display characteristics similar to China – which traditionally has higher conversion rates (nearly 3-5%)
- This is due to e-commerce being only choice for availability of goods in parts of the country and easy payment options like COD – which are not problems in western countries

Obj-text

As e-commerce sites gain trust, users are beginning to order more frequently

Obj-text

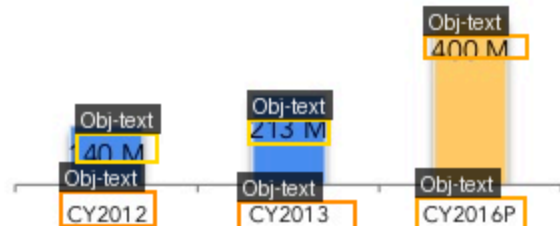
Also, repeat users – acquired more than 1yr old - are more comfortable ordering online and order significantly more than first time buyers

Other-text

Title

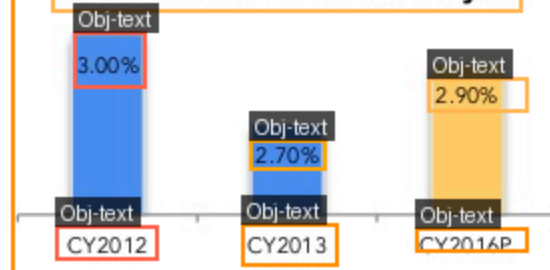
# Growth of India online shopping

## Internet users in India

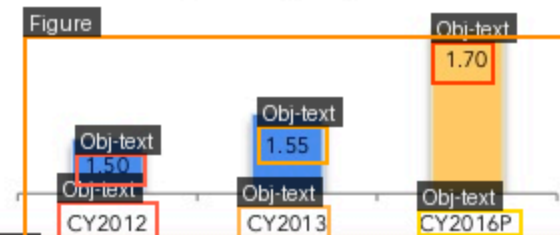


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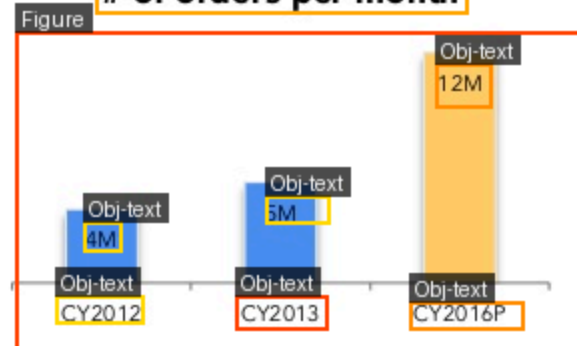
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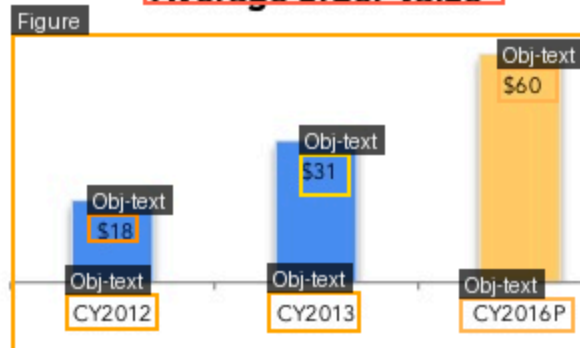
## Orders per buyer per month



## # of orders per month



## Average order value



- Last year there was a significant jump in average order value as there was a penetration of new categories like jewellery, home décor etc
- Also, users are becoming more comfortable buying higher priced items online

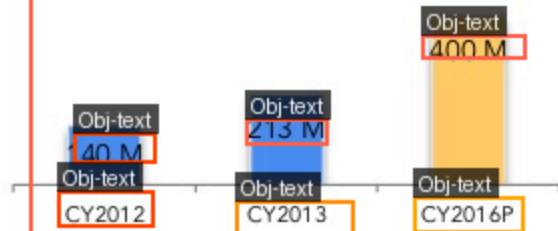
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# Growth of India online shopping

Diagram

Figure

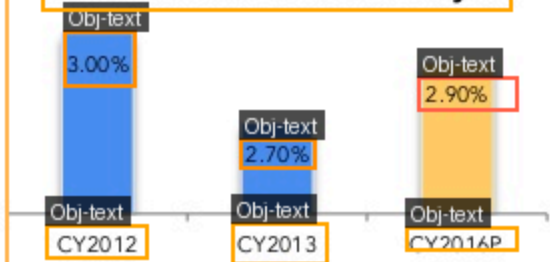
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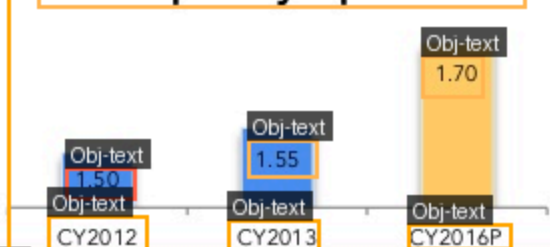
Figure

## Conversion from visitors to buyers



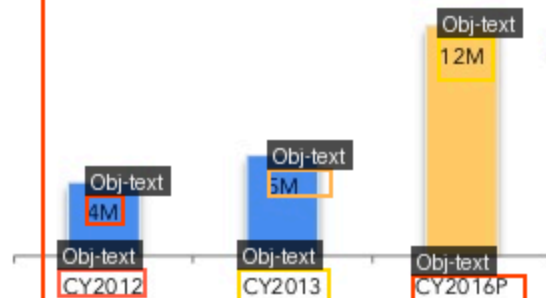
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## Orders per buyer per month

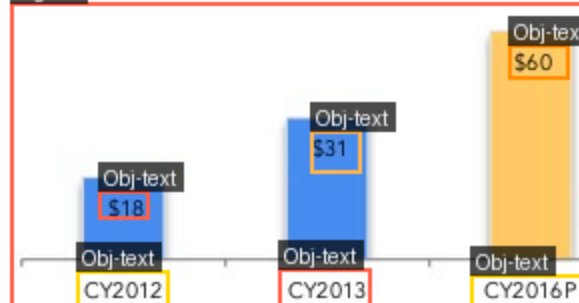


Figure

## # of orders per month

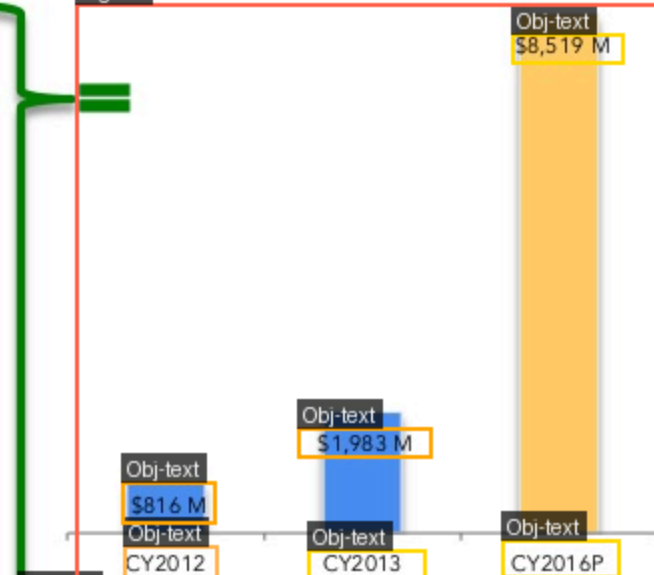


## Average order value



Figure

## Annualized online shopping GMV



- Last year there was a significant jump in average order value as there was a penetration of new categories like jewellery, home décor etc
- Also, users are becoming more comfortable buying higher priced items online

Other-text

Other-text

Title

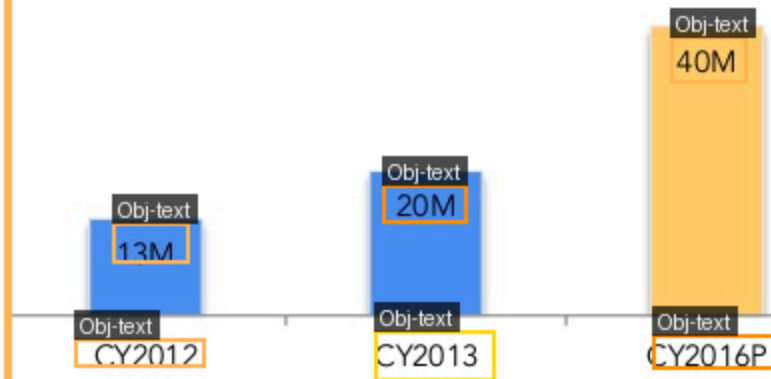
# Other observations

Diagram

Figure

Obj-text

## # of online shoppers in India



Page-text

1. ~200M of Indians will come online in next 3 years

Page-text

2. Majority of these will come online on smartphones

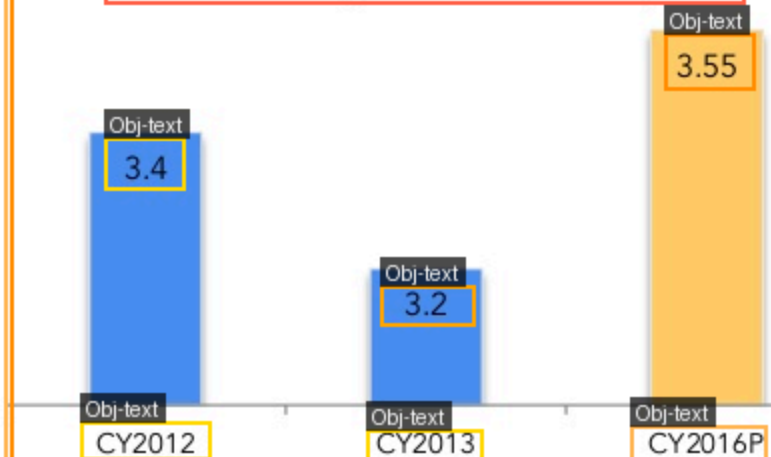
Page-text

3. E-Commerce companies are building their brands, thus gaining trust of users

Figure

Obj-text

## # of orders per customer / year



Page-text

1. Existing shoppers shop more number of times than new shoppers (in that year)

Page-text

2. As India's e-commerce market grows the proportion of existing shoppers will increase from 30% (in 2013) to 50% (in 2016)

# E-commerce is a small sliver of Indian retail

Obj-text

■ Unorganized retail

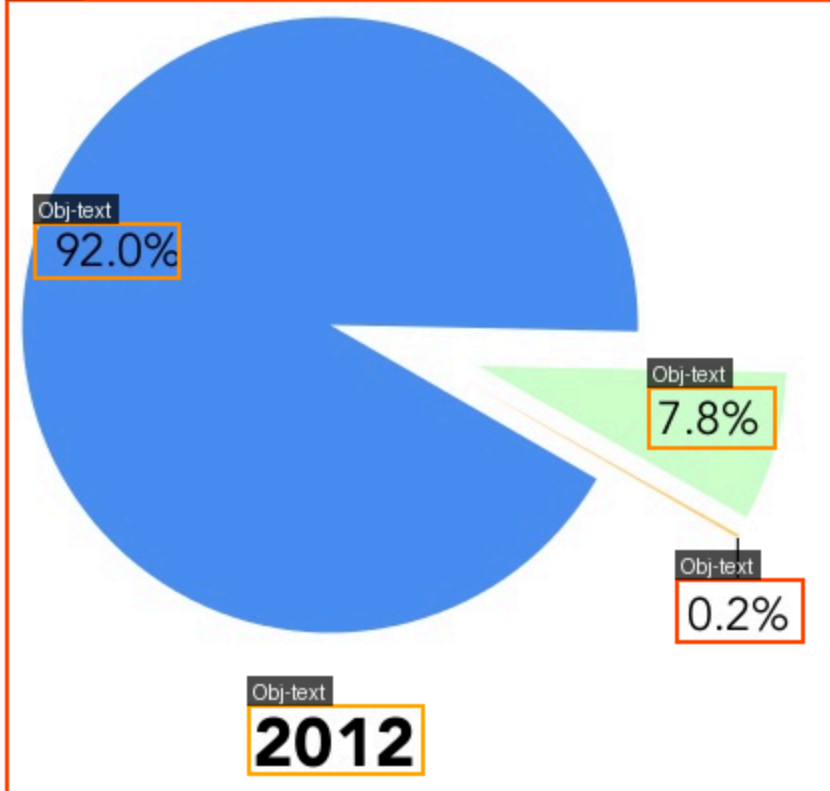
Obj-text

■ Organized retail - offline

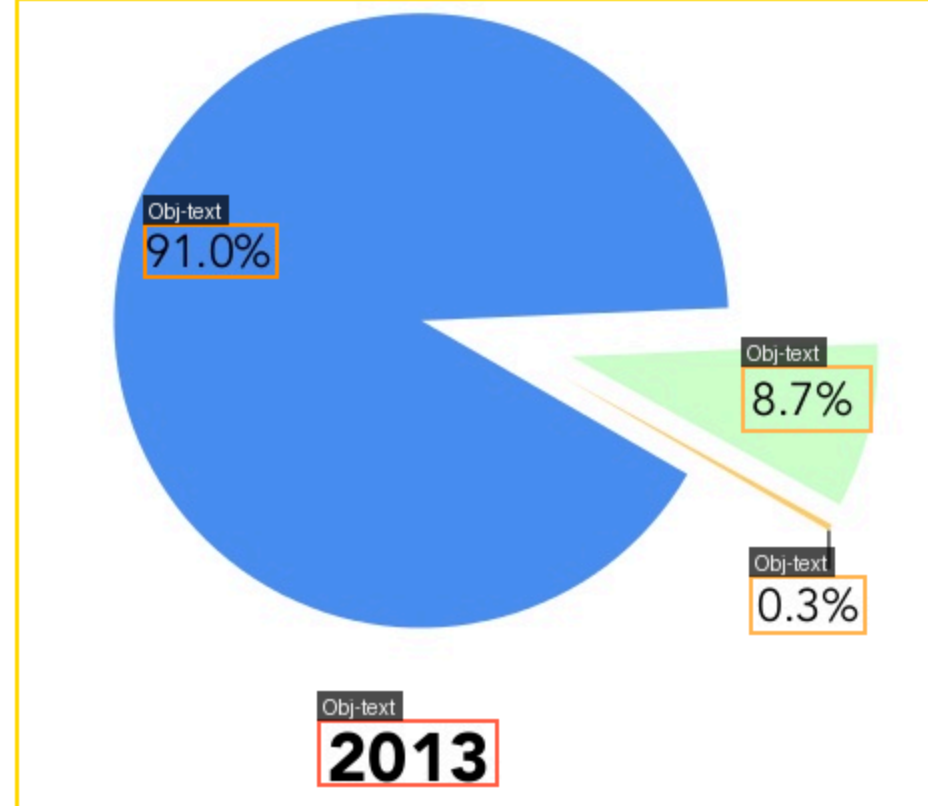
Obj-text

■ Organized retail - online

Figure



Figure



Table

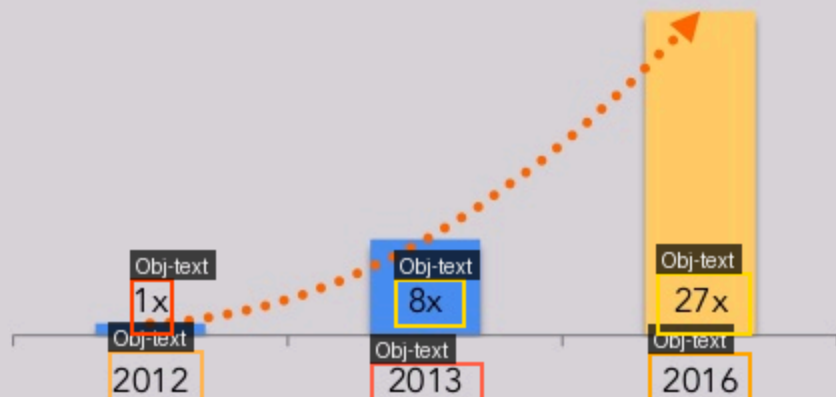
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# Mobile

## There is a traffic to revenue gap on mobile e-commerce in India

Caption

Mobile shopping grew 800% in 2013, we expect it to grow at a 150% CAGR till 2016



Page-text

**Factors leading to major adoption of mobile as a channel:**

Page-text

10% of the growth in Indian internet users was mobile only

- Showrooming – a growing habit

Page-text

**Reasons why there is not a 1:1 conversion of traffic to mobile:**

Page-text

Most e-retailers do not have mobile optimized sites

Page-text

Most transactions are for low ticket items

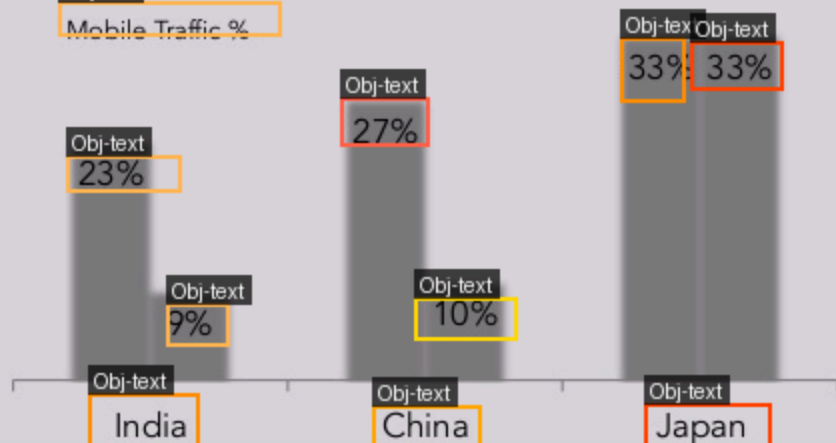
- Mobile marketing budgets are < 10% of overall digital marketing budgets, even though they have increased 100% Y-o-Y, even though overall ad spends have increased 20% Y-o-Y

Figure

Caption

Mobile revenue share is lagging mobile traffic share in India and China

Obj-text  
Mobile Traffic %



Figure

Caption

India vs rest of BRICS - mobile shopping GMV as % of overall GMV

